

KEY TERMINOLOGY

ECONOMY



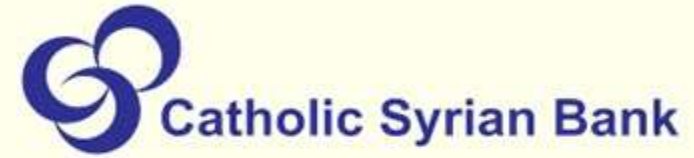
- Cooperative Banks
- Regional Rural Banks
- NABARD
- Depositories
- Primary Dealers

MODULE - 19

- Authorised Dealers
- Developed Countries
- Developing Countries
- Consortium Loans
- JLF

KEY TERMINOLOGY IN ECONOMY

COMMERCIAL BANKS



KEY TERMINOLOGY IN ECONOMY



REGIONAL RURAL BANKS



- In spite of **nationalization in 1969**, large segment of the rural population were beyond the reach of **banking services**. To fill this gap, it was **felt to create** a new banking system.
- After the **emergency** was imposed in 1975, the then Prime Minister Smt Indira Gandhi announced 20 point programme, one of which was “**Institutional credit to farmers and artisans in rural areas**”.
- As such, GOI promulgated RRB ordinance on 26th September, 1975 (Replaced by RRB Act 1976) to set up RRBs throughout the country.

The main purpose is

To provide credit and other facilities to **small and marginal farmers, agricultural laborers, artisans and small entrepreneurs** so as to develop agriculture, trade, commerce, industry and other productive activities in rural areas.



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SALIENT INFORMATION

Name of the first RRB	“Prathama Grameena Bank”
Date of inauguration	October 2, 1975
Names of the first five sponsored banks	SBI, Syndicate Bank, Punjab National Bank, United Commercial Bank, United Bank of India
The first five RRBs started	▪ Moradabad and Gorakhpur (U.P.) ▪ Bhiwani (Haryana) ▪ Jaipur (Rajasthan) ▪ Malda (West Bengal)

As per the RRB's Amendment Act, 2015, the authorized capital was increased to Rs. 2,000 crore and the share of organizations was modified so that the holdings of the Centre and Sponsored Bank put together will not be allowed to go below 51 per cent

KEY TERMINOLOGY IN ECONOMY

CO-OPERATIVE BANKS

URBAN CO-OPERATIVE
BANKS

RURAL CO-OPERATIVE
CREDIT INSTITUTIONS

LONG-TERM

LONG-TERM / SHORT-TERM

SCARDBs

PCARDBs

State Co-operative
Bank

District Central Co-
operative Bank

Primary Agricultural
Credit Societies

- Not in existence in several States.
- For development of farm/non-farm activities with long term funds.

- In States where SCARDBs are not available, long term finance is provided by them.
- These are playing prominent role in taking care of small/marginal farmers

KEY TERMINOLOGY IN ECONOMY

CO-OPERATIVE BANKS

STATE CO-OPERATIVE BANKS
(At State level)

CENTRAL CO-OPERATIVE BANKS
(At district level normally)

PRIMARY AGRICULTURAL CREDIT SOCIETIES
(PACSs) (At village level)

- Main aim – Rural finance to agriculture, small scale sector, rural artisans etc..
- Issue and cancellation of licence for Co-op Banks lies with RBI (for PACS, RBI has no role to play)
- Administrative control .. State Govts
- Policy guidelines... NABARD
- There will be shareholders
- It will be federal in structure with distinct jurisdiction and control

PRIMARY (URBAN) CO-OP BANKS

- Main aim - micro finance to urban poor
- Normally situated in urban areas
- There will be shareholders
- Issue & cancellation of licence lies with RBI
- Main loan portfolio is small scale industry, housing, gold loans, personal loans etc.



TIRUPATI URBAN
CO-OP. BANK LTD.



The Mehsana
Urban Co-Operative Bank Ltd.
(Scheduled Bank)



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NABARD

WE LEARNT ABOUT

RRBs and Co-op Banks meant for the development of agriculture and rural development.

WHO REGULATES THEM?

- Technically, for issue and cancellation of licences, it is RBI.
- But for day to day supervision and policy issues, it is NABARD.

NABARD – HISTORICAL PERSPECTIVE

- At the instance of GOI, RBI constituted a “Committee to Review the Arrangements For Institutional Credit for Agriculture and Rural Development” i.e., CRAFICARD under the Chairmanship of B. Sivaraman.
- Based on the recommendations, NABARD (National Bank for Agriculture and Rural Development) started functioning from 12th July, 1982.
- It was formed by clubbing Agricultural Credit Department (ACD) and Rural Planning and Credit Cell (RPCC) of Reserve Bank of India and Agricultural Refinance and Development Corporation (ARDC).



**NATIONAL BANK FOR AGRICULTURE
AND RURAL DEVELOPMENT**

KEY TERMINOLOGY IN ECONOMY

DEPOSITORIES



- Depositories Act was enacted in August 1996.
- NSDL is the first depository in India.
- Depository holds securities like shares, debentures, bonds etc in electronic form.
- It is similar to banks holding our accounts.
- If you open demat account with a bank, bank is only a Depository Participant and it is held actually with a Depository i.e., either NSDL or CDSL.

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DEPOSITORIES / DEPOSITORY PARTICIPANTS (DPs)



KEY TERMINOLOGY IN ECONOMY

START-UPS / BUSINESS INCUBATORS

START-UPS

“Budding companies in search of a scalable business model. The essence of start-ups is the concepts of ambition, innovation, scalability and growth”.

It is normally referred to technology related companies.



Asia's Largest Online Baby & Kids Store



Mu Sigma
DO THE MATH

BUSINESS INCUBATORS

It is the center, where an “idea” will be converted into a “profitable business venture” through fostering entrepreneurship, mentoring, management expertise etc.



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KEY TERMINOLOGY IN ECONOMY

PRIMARY DEALERS



REGULATOR



SBI DFHI Ltd.



PRIMARY DEALERS

- They participate in **primary auctions** of Govt. Securities.
- Sell Govt. Securities in **secondary market** so as to create liquidity for G-Secs.
- They also participate in **money market instruments** like **certificate of deposits**, **commercial papers**, **call & notice money transactions**.

KEY TERMINOLOGY IN ECONOMY

AUTHORISED DEALERS



REGULATOR



AUTHORIZED DEALER BANKS

Authorized Dealers are the **authorized money changers**, authorized by the RBI under section 10 of the FEMA, 1999, to deal in **foreign exchange** for specified purposes.

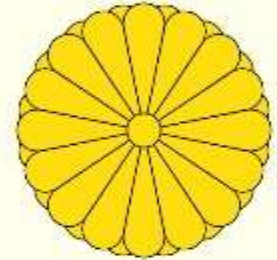
KEY TERMINOLOGY IN ECONOMY

DEVELOPED COUNTRIES

- More industrialized
- More National Income based on services followed by industry.
- High per capita income
- World class infrastructure ... both physical & social
- Very few people below poverty line
- High standard of living
- High HDI



USA



JAPAN



GERMANY



CANADA



FRANCE



UK



SOUTH KOREA



AUSTRALIA

KEY TERMINOLOGY IN ECONOMY

DEVELOPING COUNTRIES

- These are in the process of industrialization i.e. shift from agrarian economy to industrialized economy.
- Substantial people below poverty line
- Less per capita income
- Poor infrastructure ... both physical and social
- Low HDI
- Poor education standards



MEXICO



TURKEY



NIGERIA



सत्यमेव जयते

INDIA



BRAZIL

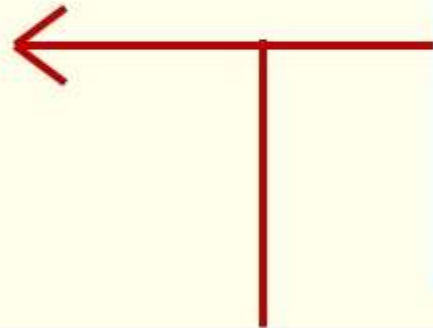


SOUTH AFRICA

KEY TERMINOLOGY IN ECONOMY

LENDING THROUGH CONSORTIUM OF BANKS

Several banks coming together to finance a borrower with **common appraisal**, **common documentation**, **joint supervision** & follow up exercises.



LENDING AS A GROUP



One bank will act as a lead bank

LENDING THROUGH MULTIPLE BANKING ARRANGEMENTS (MBAs)



- Borrower avails loans independently from more than one bank.
- There is no contractual relationship between various bankers.
- Each banker will do his own credit assessment.
- Each banker holds security independent of others.

KEY TERMINOLOGY IN ECONOMY

JOINT LENDERS' FORUM (JLF)



Consortium Lending



Multiple Banking Arrangement Lending

- This is applicable for Consortium Lending or Multiple Banking Arrangement (MBA) Lending.
- At the stage of SMA-2, it is mandatory to form a Committee known as Joint Lenders' Forum (JLF), if the aggregate exposure (both fund-based / non-fund based) is Rs. 100 cr or above.
- Under the consortium arrangement, consortium leader will be the convener & in case of Multiple Banking Arrangement, the bank with highest exposure will convene JLF.
- JLF will look at the option of rectification / restructuring / recovery.

KEY TERMINOLOGY IN ECONOMY

MICRO ATMS



DISADVANTAGE

Micro ATM cannot provide 'anytime' money. Hence if the bank correspondent is **unavailable**, the account holder will not be able to undertake any financial transaction.

- Micro ATMs are **card swipe machines** through which banks can **remotely connect to their core banking system**.
- This machine comes with a **fingerprint scanner attached to it**.
- In other words, micro ATMs are **handheld Point of Sale terminals** used to disburse cash in remote locations where **bank branches cannot reach**.
- Micro ATMs are similar to Point of Sale (PoS) terminals and are a **doorstep mobile banking arrangement cum-mobile ATM device**.
- Micro ATM has connectivity through GSM, hence it can travel from village to village.

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